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India, where industrial automation started in the 90s, has till date only scratched the surface. A lot still needs to happen.

Says Choudhury, "While some industries like the automotive and automotive component industry have done well, we still have low productivity in our factories. Cost of automation is one big reason why small to mid-size Indian manufacturers have been slow to take up automation while trying to justify the ROI."

"The Indian government should consider incentives for industrial automation to increase productivity and bring the Indian manufacturing sector to global standards. With the growing consumption in India, sourcing for a wide range of products, systems and sub-systems will happen locally and the Indian manufacturers should be in a position to augment their systems, lower the production cost, achieve better quality and prepare for the increased supply demand of a growing economy. Frugal innovation in terms of lower-cost automation systems will obviously be in huge demand," he feels.

"Technical challenges for market growth are related to infrastructural factors like energy, transportation, logistics and water. Companies need to make sure they have the means to sustain production, and to do this they have to look at the factors further outside the core manufacturing process. However, the biggest challenge for companies is to find partners who have experience in doing complex integration," informs Tucker.

Key vendors

The industrial automation market is highly segmented between different equipment manufacturers, control system manufacturers, sensor manufacturers, and software and analytics providers. No one company has a complete solution, nor would such a solution be focused enough to be successful in the India marketplace.

"The market is controlled by global multinational companies like Siemens, ABB and Honeywell, which have over 80 per cent market share in India. There are several smaller Indian players spread across the West, North and South regions that have the remaining

20 per cent of the market," informs Choudhury.

Market opportunities and threats.

The biggest threats across this whole sector are the inability to move quickly, and not having means to share information with other partners and to integrate systems to communicate with each other. This is also the area of largest opportunity, since being able to connect from shop floor to sales to service, is where the greatest value exists, according to Tucker.

Strengths and weaknesses.

As mentioned above, strength exists in being able to collaborate easily to build customised solutions that drive value for each customer, for the customer's customers, and to provide a more efficient and productive relationship—addressing the key needs of different participants in different roles.

"The vendors who understand this are working to make their existing systems interoperable with other vendors' systems. The ones who are trying to 'build it all in house' and offer a comprehensive single-vendor solution will not be able to innovate and deliver the kinds of products and solutions that customers are asking for, both in India for the domestic market, and in the broadly connected world where India is a key supplier of knowledge work and innovation globally," feels Tucker. ●

The key market trend is to identify effective ways to increase integration across all enterprise systems, and within the industrial facility to make things more flexible so as to increase the quality of information being used to guide production

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